

Devpati Devi v. State of U.P. & 2 Others

High Court of Judicature at Allahabad · Division Bench · 18 April 2024 (final order; earlier orders of 21.2.2024, 6.3.2024 and 1.4.2024) · 2024:AHC:67219-DB · Writ-C No. 3458 of 2024 · **Petition disposed of. The Division Bench held that the impugned notice dated 26.05.2022 — demanding deposit of Rs.6,60,000 as compounding fee and Rs.6,69,246 as the amount assessed for unauthorized use of electricity, failing which recovery through the District Magistrate — was not a valid provisional assessment because it gave the consumer no opportunity to object, and violated the procedure under Section 126 of the Electricity Act, 2003 and the U.P. Electricity Supply Code, 2005. Treating this as one of a recurring class of cases, the Court monitored systemic compliance over successive orders, reminding that violation of the Managing Director's undertaking to the Court amounts to civil contempt and that the Managing Director is vicariously liable for officials' violations; the DISCOM issued a revised SOP (16.04.2024), a Raid Management System and monitoring committees, and show-cause notices to erring engineers. As the Department had withdrawn the impugned demand and issued a fresh notice to be decided after hearing the petitioner, the grievance stood redressed and the petition was disposed of with a clarification that the respondents may proceed strictly in accordance with law.**

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HEADNOTE

A challenge to an electricity 'unauthorized use' recovery notice that grew into a court-monitored enforcement of the mandatory assessment procedure. The petitioner challenged a notice dated 26.05.2022 demanding Rs.6,60,000 as compounding fee and Rs.6,69,246 as the amount assessed for unauthorized use of electricity, failing which recovery would be made through the District Magistrate. The Division Bench rejected the Department's characterisation of the notice as a 'provisional assessment' or a mere 'summons': instead of giving the petitioner an opportunity to file objections, it directed her to deposit the sum on pain of recovery, and so violated the procedure prescribed under Section 126 of the Electricity Act, 2003 and the U.P. Electricity Supply Code, 2005. Observing that it repeatedly encounters recovery notices issued without following that procedure, the Court traced an undertaking given by the Managing Director of Purvanchal Vidyut Vitran Nigam Ltd. in earlier proceedings (Writ-C No.35257 of 2022, Shwetanshu Kumar Ojha) to strictly follow Clause 6.8, and held that violation of an undertaking to the Court amounts to 'Civil Contempt' under Section 2(b) of the Contempt of Courts Act, 1971 and that the Managing Director is vicariously liable for the violations of officials under his supervision and control. It declined the State's suggestion to have the Ministry frame fresh guidelines, holding the Act and Code sufficient. Clause 6.8(b)(i) and (c)(i) require fifteen days' clear notice to the consumer to submit a reply and appear for hearing, and a detailed speaking final assessment order. Over successive orders the DISCOM issued a revised SOP dated 16.04.2024 for Section 126 assessments, adopted a Raid Management System and dual (pyramidal and committee) monitoring, issued show-cause notices to four executive engineers and constituted a review committee. As the Department had withdrawn the impugned demand and undertaken to pass a fresh order after hearing the petitioner, the grievance stood redressed and the petition was disposed of with liberty to proceed strictly in accordance with law.

FACTUAL SUMMARY

The petitioner, Devpati Devi, is an electricity consumer within Purvanchal Vidyut Vitran Nigam Ltd.'s area (Ghazipur). The writ petition challenged a demand notice dated 26.05.2022 issued by respondent No.3 calling upon her to deposit Rs.6,60,000 as compounding fee and Rs.6,69,246 as the amount assessed against her for unauthorized use of electricity; the notice warned that, failing deposit, the amount would be recovered through the District Magistrate, Ghazipur. Before the Division Bench (Hon'ble Manoj Kumar Gupta, J. and Hon'ble Kshitij Shailendra, J.), the Electricity Department's counsel described the notice as a 'provisional assessment order' and, alternatively, as a 'summons', both of which the Court rejected. The matter proceeded through a series of orders — 21.2.2024, 6.3.2024, 1.4.2024 and 18.4.2024 — during which the Court, treating the case as one of a recurring class of procedurally defective recovery notices, examined systemic non-compliance by the officials of Purvanchal Vidyut Vitran Nigam Ltd. with the assessment procedure under Section 126 of the Electricity Act, 2003 and Clause 6.8 of the U.P. Electricity Supply Code, 2005. It recalled an undertaking given by the Managing Director in earlier proceedings (Writ-C No.35257 of 2022, Shwetanshu Kumar Ojha v. State of U.P.) to strictly follow the Code, required the Managing Director's personal affidavits (and appearance by video conferencing), and monitored the corrective steps taken — culminating in a revised SOP dated 16.04.2024, a Raid Management System, dual monitoring mechanisms, show-cause notices to four executive engineers, and a three-member review committee constituted on 02.04.2024. Ultimately the Department stated that the impugned demand of 26.05.2022 had been withdrawn and that a fresh notice had been issued to the petitioner to be decided after hearing her.

REUSABLE CONSTRUCTIONS

1. A notice that demands deposit of the assessed amount and compounding fee for unauthorized use of electricity, on pain of recovery through the District Magistrate/Collector, without first affording the consumer an opportunity to file objections and be heard, is not a valid provisional assessment under Section 126 of the Electricity Act, 2003 and the U.P. Electricity Supply Code, 2005, and cannot be defended as a mere 'summons'. **order of 21.2.2024, paras 3-5**
2. Before a final assessment for unauthorized use of electricity, Clause 6.8 (particularly sub-clauses (b)(i) and (c)(i)) of the U.P. Electricity Supply Code, 2005 requires fifteen days' clear notice to the consumer to submit a reply and to appear for hearing on a communicated date, followed by a detailed speaking final assessment order. **orders of 1.4.2024 & 18.4.2024**
3. Violation of an undertaking given to the Court to follow the statutory assessment procedure amounts to civil contempt under Section 2(b) of the Contempt of Courts Act, 1971; and where officials persist in disregarding it, the Managing Director of the distribution licensee is vicariously liable for the violations of officials under his supervision and control in the administrative hierarchy. **order of 21.2.2024, paras 8 & 11**
4. Where the Electricity Act, 2003 and the U.P. Electricity Supply Code, 2005 already prescribe the procedure, it is neither necessary nor always desirable to lay down separate guidelines by circular for every departmental action; the existing statutory provisions are sufficient. **order of 21.2.2024, para 10**
5. Where the Department withdraws the impugned demand and undertakes to issue a fresh notice and pass a fresh order after hearing the consumer, the grievance stands redressed and the petition is disposed of with liberty to proceed strictly in accordance with law. **order of 18.4.2024, paras 6-8**

HOLDING-UNITS

INTERPLAY · EA2003::126

RATIO

A demand-cum-recovery notice issued without an opportunity to object is not a valid provisional assessment and violates the Section 126 / Clause 6.8 procedure

QUESTION

Is a notice that directs the consumer to deposit the assessed sum and compounding fee, failing which recovery is to be made through the District Magistrate, a valid provisional assessment under Section 126 of the Electricity Act, 2003 read with the U.P. Electricity Supply Code, 2005 — or a bare demand issued without the mandatory procedure?

HOLDING

It is not a valid provisional assessment. Instead of giving the consumer an opportunity to file objections, the notice calls upon her to pay the amounts, failing which they would be recovered through the District Magistrate; even if treated as a 'summons', it is not a summons to file objections or to be heard, but an order directing deposit on pain of recovery. Such a notice does not conform to, and violates, the procedure prescribed under Section 126 of the Act and the U.P. Electricity Supply Code, 2005. **order of 21.2.2024, paras 3-5**

EVIDENCE “The notice in question, by no stretch of imagination, can be treated to be a notice of provisional assessment as, instead of giving opportunity to the petitioner to file objection, it calls upon the petitioner to pay the aforesaid amounts failing which the same would be recovered through the District Magistrate.” **order of 21.2.2024, para 3**

EVIDENCE “it is clearly an order directing the petitioner to deposit the aforesaid sum of money, failing which, she shall be subject to recovery proceedings through Collector, Ghazipur.” **order of 21.2.2024, para 5**

FLAG Multi-order stack with no printed page numbers; paragraphs restart in each dated order, so pins combine the order date with the paragraph (pin_basis=date). Neutral citation 2024:AHC:67219-DB is of the final order dated 18.4.2024.

HOLDING-UNIT · UP-2005::6.8

RATIO

The mandatory Clause 6.8 assessment procedure, and the consequences of the Electricity Department's systemic non-compliance

QUESTION

What procedure must an assessing officer follow before a final assessment for unauthorized use of electricity, and how is the Department's repeated non-compliance to be addressed?

HOLDING

Clause 6.8, particularly sub-clauses (b)(i) and (c)(i), requires fifteen days' clear notice to the consumer to submit a reply and to appear for hearing on a communicated date, followed by a detailed speaking final assessment order deciding the assessment. The Court recorded that the Department's officials were repeatedly issuing recovery notices without following this procedure, occasioning loss to the public exchequer, and monitored compliance across successive orders — resulting in a revised SOP dated 16.04.2024 for Section 126 assessments, a Raid Management System, dual (pyramidal and committee) monitoring, show-cause notices to erring executive engineers, and a review committee. orders of 21.2.2024 (para 6), 6.3.2024, 1.4.2024 (para 4) & 18.4.2024 (para 3)

EVIDENCE “the officials of the Electricity Department are issuing recovery notices without following the procedure prescribed under Section 126 of the Electricity Act, 2003 and under the U.P. Electricity Supply Code, 2005.” order of 21.2.2024, para 6

EVIDENCE “fifteen days' clear notice to the consumer to submit reply and to appear for hearing on the date and time to be fixed and duly communicated to him.” order of 1.4.2024, para 4

EVIDENCE “Passing a detailed speaking order and deciding the final assessment against the consumer.” order of 18.4.2024, para 3 (revised SOP item 10)

FLAG The systemic monitoring directions span all four orders; the procedural requirement (15 days' notice, hearing, speaking order) is the ratio the impugned notice failed.

INTERPLAY · OFFTOPIC::contempt-civil

OBITER

Violation of an undertaking to the Court is civil contempt; the Managing Director is vicariously liable for officials' violations of law

QUESTION

What is the consequence where a distribution licensee's officials disregard an undertaking given to the Court (through its Managing Director) to follow the statutory assessment procedure?

HOLDING

Violation of an undertaking given to the Court amounts to 'Civil Contempt' within the meaning of Section 2(b) of the Contempt of Courts Act, 1971; and where the officials continue to disregard the undertaking, the Managing Director is vicariously liable for the violations of law committed by officials under his supervision and control in the administrative hierarchy. These observations were made by way of reminder while the Court required the Managing Director's personal affidavit; no contempt was actually adjudicated, the grievance having ultimately been redressed. order of 21.2.2024, paras 8 & 11

EVIDENCE “violation of an undertaking given to the Court amounts to "Civil Contempt" as per Section 2(b) of the Contempt of Courts Act, 1971.” order of 21.2.2024, para 8

EVIDENCE “the Managing Director is vicariously liable for violation of law done by the officials under his supervision and control in the administrative hierarchy.” order of 21.2.2024, para 11

FLAG Off the electricity supply statutes: the source of this holding is the Contempt of Courts Act, 1971 (OFFTOPIC::contempt-civil key, as used in SCJ-275/276). Stated as obiter — no contempt was adjudicated.

PRINCIPLE TAGS

opportunity-before-final-assessment The impugned notice demanded deposit of the assessed amount and compounding fee without giving the consumer any opportunity to file objections or be heard; Clause 6.8(b)(i)/(c)(i) require fifteen days' clear notice, a hearing, and a speaking final order before assessment. orders of 21.2.2024 & 1.4.2024

demand-notice-on-provisional-assessment-is-illegal A bare demand-cum-recovery notice, defended as a 'provisional assessment' or 'summons' but in substance directing deposit on pain of District Magistrate/Collector recovery, is illegal for want of the Section 126 / Clause 6.8 procedure. order of 21.2.2024, paras 3-5

managing-director-vicariously-liable-for-officials-code-violations Violation of the Managing Director's undertaking to the Court to follow the Code is civil contempt (Section 2(b), Contempt of Courts Act, 1971), and the Managing Director is vicariously liable for officials' violations of law under his supervision and control. order of 21.2.2024, paras 8 & 11

act-and-code-sufficient-no-fresh-guidelines-needed The Court declined the State's suggestion to have the Ministry frame fresh guidelines, holding that the Electricity Act, 2003 and the U.P. Electricity Supply Code, 2005 are sufficient and that separate circulars for every action are not always desirable. order of 21.2.2024, para 10

NOT DECIDED — THE MERITS OF THE ASSESSMENT FOR UNAUTHORIZED USE OF ELECTRICITY AGAINST THE PETITIONER

Not adjudicated; the impugned demand was withdrawn and a fresh notice issued, to be decided after hearing the petitioner, so the Court passed no order on the quantum or validity of the underlying assessment. [order of 18.4.2024, paras 6-7](#)

NOT DECIDED — WHETHER ANY OFFICIAL OR THE MANAGING DIRECTOR SHOULD BE PUNISHED FOR CIVIL CONTEMPT

The Court reminded the officials of the consequences and required affidavits, but did not initiate or adjudicate contempt, the grievance having been redressed. [order of 21.2.2024, paras 8-12](#)

RELATED CASES — SEE ALSO

SCJ-057 — Assessment and demand notices quashed for want of the Clause 6.8 procedure, with liberty to reassess strictly per the Code — the procedural defect found [here](#).

SCJ-048 — Bill-cum-notice and demand notice set aside for non-compliance with Clause 6.8, liberty to proceed afresh.

SCJ-070 — Assessment notice and demand set aside for procedural default, with liberty to pass a fresh order after following the Code.

SCJ-275 — Civil contempt in the electricity-assessment context (OFFTOPIC::contempt-civil); companion to the contempt/undertaking-violation dimension [here](#).

SCJ-276 — Civil-contempt proceeding against an Executive Engineer of a distribution licensee; same contempt/vicarious-enforcement theme.

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Shwetanshu Kumar Ojha v. State of U.P. and 6 others</i> Writ-C No.35257 of 2022 (High Court of Allahabad) High Court of Judicature at Allahabad	Earlier proceedings in which the Managing Director of Purvanchal Vidyut Vitran Nigam Ltd. appeared in person and gave an undertaking (Circular Letter dated 09.01.2023) that officials would strictly follow the U.P. Electricity Supply Code, 2005 in theft/unauthorized-use assessments, and that action would be taken against erring officials.	Referred order of 21.2.2024, paras 7-8	Court	Referred

SCJ-2215 · Devpati Devi v. State of U.P. & 2 Others · 2024:AHC:67219-DB · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.